given the absence of an operational bankruptcy code in India. Therefore, the RBI has had to adopt a pragmatic approach to the clean-up, creating new enabling processes.

THE RBI'S APPROACH

Our first task was to make sure that all banks had information on who had lent to a borrower. So we created a large loan database (CRILC) that included all loans over Rs 5 crores, which we shared with all the banks. The CRILC data included the status of each loan – reflecting whether it was performing, already an NPA or going towards NPA. That database allowed banks to identify early warning signs of distress in a borrower such as habitual late payments to a segment of lenders.

The next step was to coordinate the lenders through a Joint Lenders' Forum (JLF) once such early signals were seen. The JLF was tasked with deciding on an approach for resolution, much as a bankruptcy forum does. Incentives were given to banks for reaching quick decisions. We have also tried to make the forum more effective by reducing the need for everyone to agree, even while giving those who are unconvinced by the joint decision the opportunity to exit.

We also wanted to stop restructuring of unviable projects by banks who want to avoid recognizing losses – so we ended the ability of banks to restructure projects without calling them NPA in April 2015. At the same time, a number of long-duration projects such as roads had been structured with overly rapid required repayments, even though cash flows continued to be available decades from now. So we allowed such project payments to be restructured through the 5/25 scheme provided the long dated future cash flows could be reliably established. Of course, there was always the possibility of banks using this scheme to evergreen, so we have monitored how it works in